SO, WHAT'S FANNING INFLATION?

Inflationary concerns began to mount about six months ago, driven largely by external supply factors. To begin with, there was the pandemic overhang. Then, China scaled down its steel production to meet its ambitious carbon goals. The shortage of semiconductor chips put tremendous pressure on the global auto industry, with waiting periods for new cars running into months. Russia's war on Ukraine proved to be the proverbial straw that broke the camel's back, aggravating supply chain bottlenecks, with months-long order backlogs in developing as well as developed countries. Sanctions by the US and the UK affected the global sales of Russian oil and gas, triggering volatility in prices. Russia is the world's third largest producer and exporter of oil, after the US and Saudi Arabia, catering to 10 per cent of the world's needs, supplying 27 per cent of Europe's oil and meeting more than 40 per cent of its natural gas demand. Brent crude touched $139 per barrel on March 7, and has been skimming the $100-120 range since mid-March, posing the biggest risk to India's economic prospects and putting global recovery at heightened risk. Though crude rates have eased since and were $102 a barrel on April 9, they are expected to remain high in the near future if there is no let-up in the war in east Europe.

Russia and Ukraine are also top exporters of major grains and vegetable oils—they account for a quarter of the world's wheat exports, and close to 70 per cent of the world's sunflower-seed oil exports. Wheat prices rose worldwide but it was in edible oils that India felt the impact, given its import dependency is almost two-thirds of total consumption.

Global commodity prices thus began heating up. The Bloomberg commodity index has spiked by around 10 per cent since the war began on February 24 and 52 per cent on a year-on-year basis (as on April 5) as supply concerns exacerbated. Gold prices crossed $2,000 per ounce on safe haven demand before some correction. Global food prices were at an all-time high in February 2022 and are expected to harden further in view of potential supply disruptions.

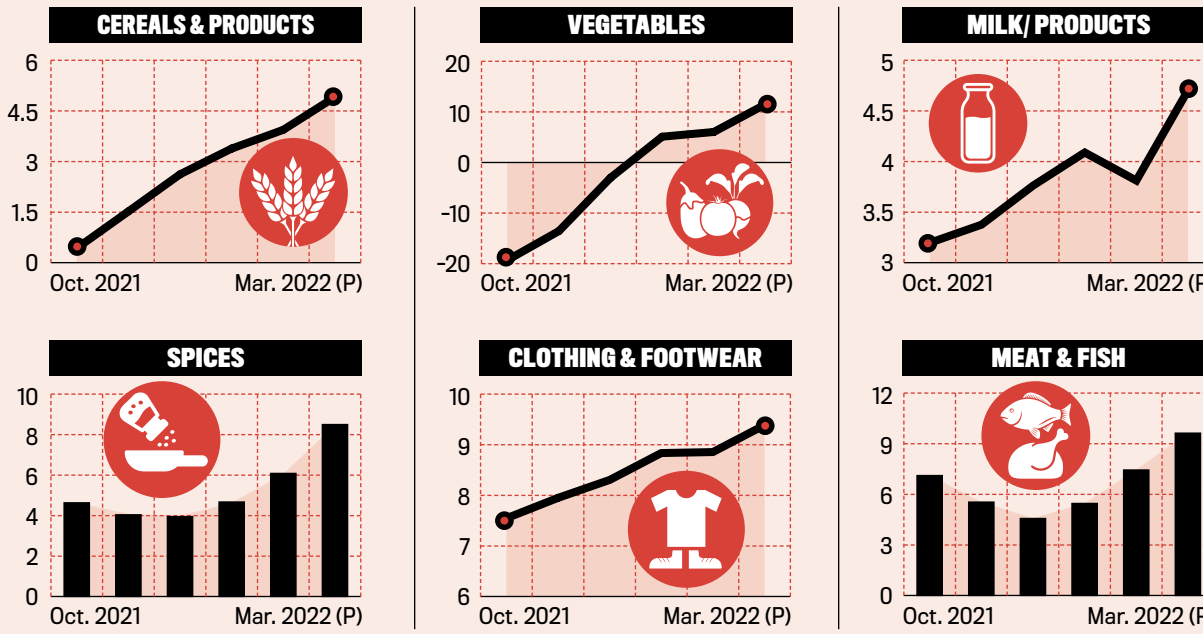
Reflecting world trends, India too saw steel, oil, nickel, copper and aluminium prices going up on an average 20-100 per cent. Cost of production in agriculture has gone up by 22 per cent in the past six months, but the increase in the minimum support price (MSP), meant to be a safety net for farmers, has only been in the range of 2-5 per cent for most Kharif crops.

Retail inflation had already surpassed the RBI's upper limit of 6 per cent in January, as economies around the world opened up after two years of the pandemic. That had inched up to 6.07 per cent in February before the war in Ukraine, kicking off at month-end, spiked it up to 6.95 per cent in March, a 17-month high. "The global economic environment

A DEARER BASKET OF GOODS

INFLATION TRENDS FOR SELECT ITEMS IN THE CONSUMER PRICE INDEX

Base 2012 (in per cent)



Source: MoSPI

P: Provisional